MACROECONOMICS

MACRO-34

Time: 5 minutes

Outcome: Explain the SRAS slope and distinguish movements from shifts.

Difficulty: Intermediate

Short-Run Aggregate Supply

THE CORE IDEA

Short-run aggregate supply shows the real GDP firms produce at each price level while some wages, input prices, and expectations adjust slowly. It slopes upward because an unexpected rise in the price level can temporarily raise production profitability. A price-level change moves along SRAS; changes in input costs, expected prices, productivity, or business taxes shift the entire curve.

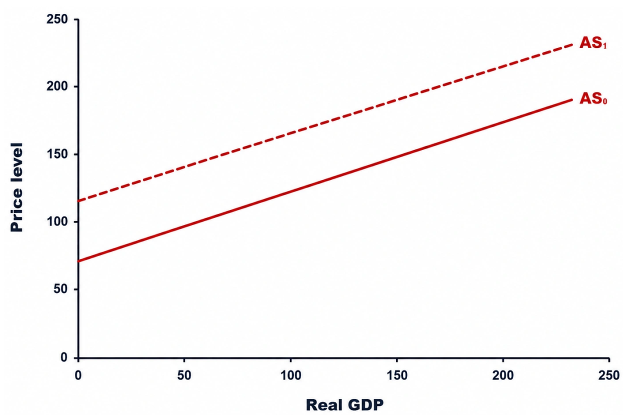
HOW TO RECOGNIZE IT

- A higher current price level, with determinants fixed, means movement up along SRAS.
- Higher expected prices or higher input costs shift SRAS left/up.
- Lower input costs or higher productivity shift SRAS right/down.
- Short-run output can lie above or below potential output because adjustment is incomplete.

WATCH OUT

Do not shift SRAS merely because the current price level changes. Ask whether production conditions changed at every price level.

WORKED EXAMPLE: AN ADVERSE COST SHOCK



Higher energy prices raise firms' costs. The graph shifts SRAS from AS0 to AS1, upward and left. At real GDP 150, the price level associated with supply rises from 150 to 190. With aggregate demand fixed, the new short-run equilibrium would have lower real GDP and a higher price level.

CHECK YOURSELF

Expected input prices fall. Does the economy move along SRAS or does SRAS shift?

READY? Return to the game and master this concept.